

Other investors have been less effusive than Graham about the prospects for liquidation value stocks. *Baupost Group* Chairman Seth Klarman in his wildly popular but out-of-print book, *Margin of Safety*, reminds us that, when emulating Graham in approximating liquidation value, this assessment must be made with imperfect information, requiring several assumptions:¹³

As long as working capital is not overstated and operations are not rapidly consuming cash, a company could liquidate its assets, extinguish all liabilities, and still distribute proceeds in excess of the market price to investors. Ongoing business losses can, however, quickly erode net-net working capital. Investors must therefore always consider the state of a company's current operations before buying. Investors should also consider any off-balance sheet or contingent liabilities that might be incurred in the course of an actual liquidation, such as plant closing and environmental laws.

Legendary investor and prolific author Marty Whitman, founder of value investor Third Avenue Management, illustrated some of the difficulties to which Klarman referred:¹⁴

We do net nets based more on common sense. As, for example, you have an asset, a Class A office building, financed with recourse finance, fully tenanted by credit-worthy tenants, that, for accounting purposes, is classified as a fixed asset, but, given such a building, you pick up the telephone and sell it, and really it's more current than K-Mart's inventories, for example, which is classified as a current asset.

Warren Buffett has written that he regards the acquisition of net nets as “foolish” unless you are a liquidator, and referred to sub-liquidation stocks as “cigar butts.”¹⁵

If you buy a stock at a sufficiently low price, there will usually be some hiccup in the fortunes of the business that gives you a chance to unload at a decent profit, even though the long-term performance of the business may be terrible. I call this the “cigar butt” approach to investing. A cigar butt found on the street that has only one puff left in it may not offer much of a smoke, but the “bargain purchase” will make that puff all profit.

Unless you are a liquidator, that kind of approach to buying businesses is foolish. First, the original “bargain” price probably will not turn out to be such a steal after all. In a difficult business, no sooner is one problem solved than another surfaces—never is there just one cockroach in the kitchen. Second, any initial advantage you